Commercial Contracts

Business agreements and intention to create legal relations

A café orders coffee beans from a supplier. Both agree on the quantity and price. They normally expect legal duties: the supplier must deliver, and the café must pay. But a business document can also record a cooperative plan that the parties deliberately keep outside contract law.

This guide focuses on **intention to create legal relations** in English commercial agreements. It explains the usual presumption, an honour clause, and a parent company's letter of comfort. It is written for English students with no previous legal knowledge.

1 What is a commercial agreement?

A **commercial agreement** concerns business dealings. It may involve two companies, an individual buying from a business, or people conducting a business transaction. The commercial character depends on the context, not simply on whether both parties are companies.

Intention to create legal relations concerns whether an arrangement is intended to carry legal obligations. Courts examine what the parties objectively communicated through their words, conduct and circumstances, rather than merely their private thoughts.

2 The usual starting point

CONTEXT	USUAL PRESUMPTION
Commercial dealings	The parties intend their agreement to have legal effect.
Ordinary social or domestic arrangements	The parties do not intend legal obligations; evidence can show otherwise.

A **presumption** is a starting assumption that can be displaced by evidence. To **rebut** it means to show why it should not determine the answer. The party denying legal intention in a commercial agreement must establish a basis for that denial.

These starting points are not absolute rules. Friends can make business contracts, and businesses can agree to cooperate on a non-binding basis. Read the actual arrangement and its context.

3 Intention is only one requirement

An ordinary simple contract generally also requires agreement and **consideration**, meaning something of value exchanged for a promise. Certainty, capacity, lawful purpose and required formalities may also matter.

The commercial presumption does not supply a missing promise, settle every disputed term or turn all business correspondence into contracts. First identify exactly what obligation is said to exist.

Rose & Frank: Binding in Honour

Rose & Frank Co v JR Crompton & Bros Ltd
[1925] AC 445 | House of Lords; judgment given in 1924

4 A business arrangement with an honour clause

An American distributor and English paper suppliers made a 1913 arrangement governing their trading relationship. It contained a clause stating that it was not a legal agreement, but an honourable commitment based on trust and cooperation. After the relationship broke down, Rose & Frank claimed breach and non-delivery.

5 Two questions, two results

The House of Lords held that the 1913 arrangement was not legally binding. Its honour clause excluded contractual intention. However, individual orders placed by Rose & Frank and accepted by Crompton were separate, enforceable sale contracts.

Outcome: the suppliers succeeded on the non-binding status of the 1913 arrangement. Rose & Frank succeeded on the contractual status of the accepted orders. Outstanding defences concerning non-delivery remained for trial; the case was sent back. It was not a complete defeat for the distributor.

6 Distinguish the general plan from a sale

LEVEL	QUESTION TO ASK
Framework arrangement	Does this document legally require the parties to maintain their wider trading relationship?
Individual transaction	Has a particular order been accepted on terms creating duties to deliver and pay?

A **framework arrangement** sets out how parties plan to work together. An **individual order** concerns a specific purchase. The legal status of one must not simply be assumed to determine the other.

7 A beginner’s example

Two businesses record a non-binding plan to explore selling tea together next year. Later, one offers to buy 100 tins for £500, and the other accepts an ordinary sale order. The exploratory plan and the purchase are different arrangements.

The plan may create no contractual duty to continue the partnership, while the accepted order may require delivery and payment. Read both documents: an honour clause is not a universal exemption from every later obligation.

Language to remember

Binding in honour means relying on an honourable commitment rather than contractual enforcement. **Non-binding** describes the lack of contractual force; it does not mean that the parties never expected cooperation.

Kleinwort Benson: A Letter of Comfort

Kleinwort Benson Ltd v Malaysia Mining Corp Bhd
[1989] 1 WLR 379 | Court of Appeal

8 Understand the three parties

PARTY	ROLE
Kleinwort Benson	The bank providing credit.
MMC Metals	The subsidiary borrowing the money.
Malaysia Mining Corporation	The parent company providing assurances to the bank.

A **parent company** controls another company; the controlled company is its **subsidiary**. A parent is not automatically liable for every debt of its subsidiary simply because it controls it.

9 What did the parent’s letter say?

The parent refused to give a guarantee. Instead, it issued letters describing its policy of keeping the subsidiary able to meet its liabilities to the bank. After the subsidiary entered liquidation without repaying the borrowing, the bank sought payment from the parent.

Here, the **letter of comfort** was an assurance from the parent company, not an accountant’s report. **Liabilities** are obligations owed by a person or company; here they included money the subsidiary owed the bank. **Liquidation** is a process of winding up a company.

10 The decision and who won

The Court of Appeal read the relevant policy statement in its context. It described a present policy rather than promising future conduct. The prior refusal to guarantee the borrowing was important. The statement did not impose the repayment obligation the bank claimed.

Outcome: Malaysia Mining Corporation won its appeal. The bank’s contractual claim against the parent failed. This did not mean that the subsidiary’s borrowing had never created a debt.

11 An assurance is not always a guarantee

A **guarantee** is a legal undertaking to answer for another party’s default, subject to its terms and applicable requirements. A letter of comfort may instead provide reassurance without assuming that duty. Its legal effect depends on its wording and context, not just its title.

The lesson is to ask whether the particular statement contains a contractual promise. The commercial presumption cannot turn a statement of present policy into a promise merely because a bank relied on it.

Analysis and Legal English

12 Read commercial documents in five steps

Identify the parties. Who is trading, borrowing or giving an assurance?
Identify the alleged promise. What precisely must someone do?
Start with the context. Commercial dealings normally indicate legal intention.
Read the words and circumstances. Look for honour clauses, policy language or a refusal to guarantee.
Separate the arrangements. A framework, an accepted order and a comfort letter may have different legal effects.

13 Essential vocabulary

TERM	PLAIN ENGLISH MEANING
Presumption / rebut	A starting assumption / displace it with evidence.
Legally binding	Creating obligations recognised and enforceable by law.
Honour clause	Wording expressing a commitment intended to rely on honour rather than contractual enforcement.
Parent / subsidiary	A controlling company / a company it controls.
Liability	A legal obligation, such as a debt that must be paid.
Comfort letter	A letter giving reassurance; its legal effect depends on the actual words and context.

14 Check your understanding

1. What is the usual presumption in a commercial agreement?
2. In *Rose & Frank*, did the honour clause prevent the accepted orders from being sale contracts?
3. Who issued the comfort letters in *Kleinwort Benson*?
4. Why did the bank’s claim against the parent fail?

Answers: 1. Intention to create legal relations. 2. No; the accepted orders were separate binding contracts. 3. The parent company. 4. The relevant policy statement, read in context, did not promise the repayment obligation alleged.

Authorities and source material

Rose & Frank Co v JR Crompton & Bros Ltd [1925] AC 445, especially pp 454-457: reproduced law report.

Kleinwort Benson Ltd v Malaysia Mining Corp Bhd [1989] 1 WLR 379, especially p 391: judgment record and opening text; judgment excerpt.

Based on the supplied *Commercial Contracts* lesson, with case names and legal distinctions clarified. Examples are simplified and concern English contract law.